Practice workbook · Mixed economy and the public and private sectors

Meaning of mixed economy and of the public and private sectors, how they differ in ownership, control and aims, and the benefits and costs of public sector provision.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-16

1. Question 2 · part h · 9 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part h only.

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2 (a) Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **(1)**

- ☒ **A** $\frac{\text{Percentage change in quantity demanded}}{\text{Percentage change in price}}$
- ☒ **B** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity demanded}}$
- ☒ **C** $\frac{\text{Percentage change in quantity supplied}}{\text{Percentage change in price}}$
- ☒ **D** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity supplied}}$

A court in China ordered a firm to pay 10 000 Yuan because it polluted a local river.

(b) This is an example of which **one** of the following? **(1)**

- ☒ **A** A fine
- ☒ **B** A permit
- ☒ **C** A subsidy
- ☒ **D** A tax

(c) State **one** example of an external benefit. **(1)**

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1. Question 2 · part h · 9 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part h only.

Sathvinder provides a cleaning service to homeowners in a small town. She recently decreased prices by 1.2% and quantity demanded increased by 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Sathvinder's cleaning service. You are advised to show your working.

(2)

(e) Define the term entrepreneur.

(1)

(f) Describe **one** reason why water is a factor of production.

(2)

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1. Question 2 · part h · 9 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part h only.

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Figure 2 shows the supply of rice in a region during 2021.

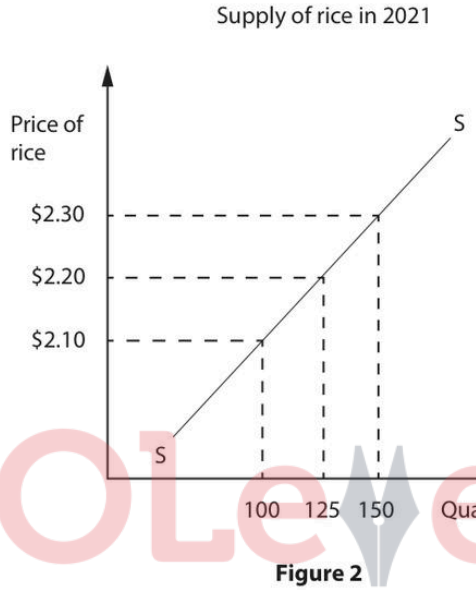


Figure 2

The equilibrium price of rice is $2.20 per kg.

(g) Explain **one** effect on the supply of rice following a change in its equilibrium price.

(3)

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1. Question 2 · part h · 9 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part h only.

Some governments have made the creation of outdoor areas or parks a priority in order to help reduce health issues, such as obesity. Studies have shown that having access to such areas encourages physical exercise that can also benefit mental wellbeing.

However, funding for such projects is not always available or the parks become too crowded. This means fewer people can benefit from these outdoor areas.

(h) With reference to the data above and your knowledge of economics, assess the benefits of the public sector providing outdoor areas or parks.

(9)

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1. Question 2 · part h · 9 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part h only.

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(Total for Question 2 = 20 marks)

1. Question 2 · part h · 9 marks · Working and answer

Working and answer

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2. Question 2 · part b · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

2 (a) Which **one** of the following might be an aim of a firm in the private sector?

(1)

- ☒ **A** Maximise costs
- ☒ **B** Reduce interest rates
- ☒ **C** Maximise profits
- ☒ **D** Reduce economies of scale

Cyprus has a mixed economy.

(b) Which **one** of the following is most likely to be provided by the public sector in Cyprus?

(1)

- ☒ **A** Cars
- ☒ **B** Roads
- ☒ **C** Driving lessons
- ☒ **D** Petrol

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2. Question 2 · part b · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

France is a developed country.

(c) On the blank pie chart below, draw and label the approximate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developed country such as France.

(3)

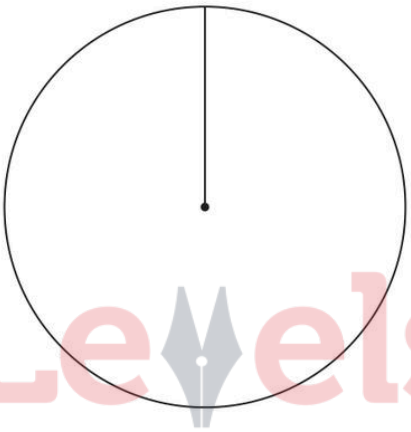


Figure 2

(d) Define the term free rider.

(1)

(e) Describe **one** reason why congestion is an example of an external cost.

(2)

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Turn over ▶

2. Question 2 · part b · 1 mark · Working and answer

Working and answer

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3. Question 2 · part f · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

2 (a) Which **one** of the following might be an aim of a firm in the private sector?

(1)

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3. Question 2 · part f · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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(3)

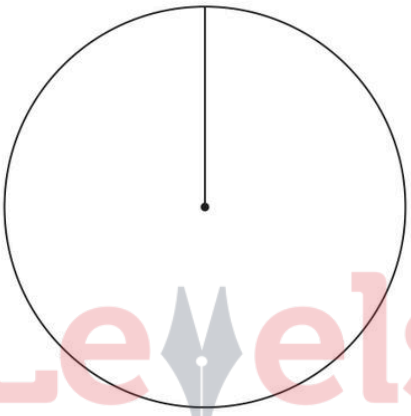


Figure 2

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(d) Define the term free rider.

(1)

(e) Describe **one** reason why congestion is an example of an external cost.

(2)

3. Question 2 · part f · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

Who should have the flu injection?

Flu is an unpredictable virus that can cause mild or unpleasant illness in most people. It can cause severe illness and even death among vulnerable groups, including older people, pregnant women and people with other health problems. These groups may, therefore, receive a free vaccination in the UK, to ensure they are protected against the virus. Although most people receive their vaccination from a public sector doctor, the UK Government has to pay private sector pharmacies to also provide this service. The cost to the UK Government of funding these vaccinations is over £100m per year.

(Source: adapted from https://www.nhs.uk/conditions/vaccinations/who-should-have-flu-vaccine/)

(f) Explain **one** possible reason why the UK Government pays private sector pharmacies to provide the flu vaccination.

(3)

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3. Question 2 · part f · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(g) With reference to the data in **'Who should have the flu injection?'** and your knowledge of economics, assess whether the cost to the UK Government of funding the flu vaccination can be justified.

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3. Question 2 · part f · 3 marks · Working and answer

Working and answer

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4. Question 1 · part c · 2 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

1 (a) Which **one** of the following values shows perfect price inelasticity of demand?

(1)

- ☒ **A** –1.5
- ☒ **B** –1
- ☒ **C** 0
- ☒ **D** 0.5

(b) A firm has total costs of $500 and sells each item at a price of $50. It sells 100 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $45 000 profit
- ☒ **B** $4 500 profit
- ☒ **C** $20 000 loss
- ☒ **D** $450 loss

(c) What is meant by the term mixed economy?

(2)

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4. Question 1 · part c · 2 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) State **one** example of an occupation in the tertiary sector of the economy.

(1)

(e) Define the term government.

(1)

(f) Calculate the income **elasticity of demand (YED)** for a good if income increases by 5% and quantity demanded increases by 12%. You are advised to show your working.

(2)

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4. Question 1 · part c · 2 marks · Working and answer

Working and answer

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5. Question 3 · part e · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

3 (a) Which **one** of the following can be described as an advantage to a small firm?

(1)

- ☒ **A** Access to many sources of finance
- ☒ **B** Flexibility
- ☒ **C** Market domination
- ☒ **D** Risk spreading

(b) Which **one** of the following options describes a price elasticity of supply (PES) of 0.7?

(1)

- ☒ **A** Perfectly price elastic
- ☒ **B** Perfectly price inelastic
- ☒ **C** Price elastic
- ☒ **D** Price inelastic

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5. Question 3 · part e · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

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(c) Using the diagram below, draw the effects of an increase in the retirement age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

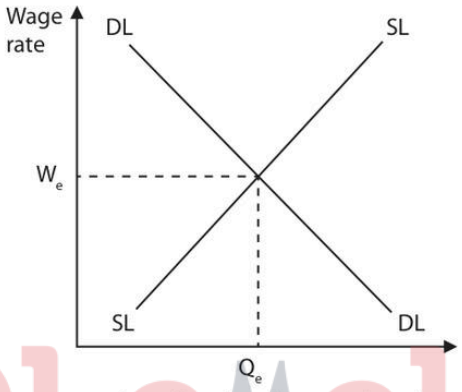


Figure 5

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5. Question 3 · part e · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part e only.

An investigation has taken place in the US to determine whether a number of pharmaceutical firms used collusion to divide sales between themselves so each firm received higher profits. One example of the price fixing meant a tablet sold for $4.70 when the price should have been $0.13. The firms have rejected the accusations, saying there is a lack of evidence to prove anti-competitive behaviour.

(Source adapted from: https://www.washingtonpost.com/business/economy/investigation-of-generic-cartel-expands-to-300-drugs/2018/12/09/fb900e80-f708-11e8-863c-9e2f864d47e7_story.html?noredirect=on&utm_term=.3c2a12983985)

(d) With reference to the data above and your knowledge of economics, analyse the possible disadvantages faced by consumers from collusion between firms.

(6)

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5. Question 3 · part e · 9 marks

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Further practice · Attempt part e only.

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5. Question 3 · part e · 9 marks

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Further practice · Attempt part e only.

More than half of Cambodia's 6,000 km of roads have been classified as 'of poor quality' by the Ministry of Public Works and Transport. As business grows in the country, drivers overload their trucks, which leads to safety issues and greater damage to the roads. A higher level of investment is needed from the government to repair damage and to build new roads which would need less maintenance.

(Source adapted from: http://www.phnompenhpost.com/business/cambodia-facing-dilemma-plan-give-roads-facelift)

(e) With reference to the data above and your knowledge of economics, assess the extent to which high levels of public sector investment to improve the roads may benefit the Cambodian economy.

(9)

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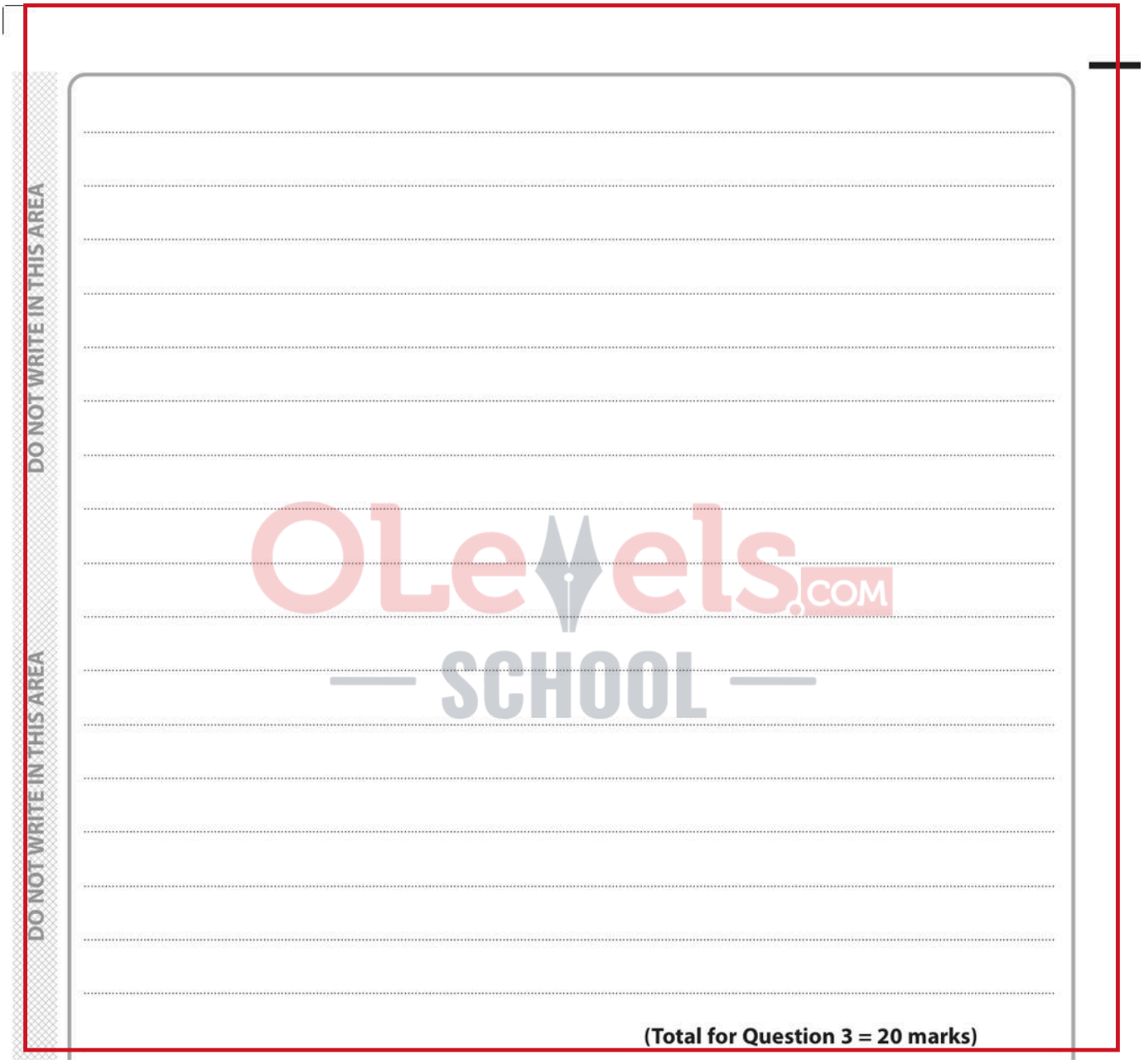
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5. Question 3 · part e · 9 marks

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Further practice · Attempt part e only.



5. Question 3 · part e · 9 marks · Working and answer

Working and answer

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6. Question 2 · part h · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.

2

Market share by firm for a market in Azerbaijan

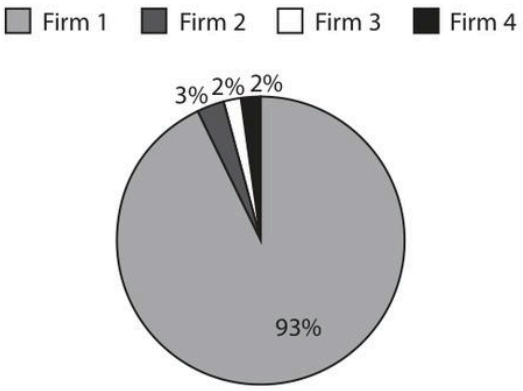


Figure 3

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 3? **(1)**

- ☒ **A** Cartel
- ☒ **B** Oligopoly
- ☒ **C** Monopoly
- ☒ **D** Competitive

(b) Which **one** of the following is a reason why consumers may not maximise their benefit? **(1)**

- ☒ **A** Consumers may accurately calculate the satisfaction they gain
- ☒ **B** Consumers may have habits that are hard to give up
- ☒ **C** Consumers are always rational when making decisions
- ☒ **D** Consumers never copy the behaviour of others

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6. Question 2 · part h · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.

(c) State the formula for price elasticity of supply (PES).

(1)

Figure 4 shows some of the production costs in the month of May for a firm manufacturing football souvenirs in Qatar, in preparation for the 2022 World Cup.

Production costs	Qatari Riyal (QR)
Rent	5 000
Raw materials	2 000
Advertising	500
Labour (paid according to output)	15 000

Figure 4

(d) Calculate the **total variable costs** for the firm in the month of May. You are advised to show your working.

(2)

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6. Question 2 · part h · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.

(e) Define the term takeover.

(1)

(f) Describe **one** reason why demand for a product usually becomes more price elastic over time.

(2)

In the UK, the speed limit for drivers in urban areas is 30 miles per hour (48 kilometres per hour).

(g) Explain **one** reason why the UK Government may use fines to reduce the negative externalities caused by drivers speeding in urban areas.

(3)

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6. Question 2 · part h · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.

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Some countries, such as Cuba, rely mostly on public sector ownership to provide goods and services. Others, such as Japan rely more on private sector ownership. In Japan, health, education and street lighting are often provided by public sector ownership but Japan also produces a high quantity of electronic goods used for entertainment.

(h) With reference to the data above and your knowledge of economics, assess how effective public sector ownership and private sector ownership are likely to be in solving the economic problem.

(9)

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6. Question 2 · part h · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.



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6. Question 2 · part h · 9 marks · Working and answer

Working and answer

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7. Question 4 · part b · 6 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

4 A concert venue in Malaysia holds a maximum of 3,200 people for each performance. The quantity of tickets demanded for the most recent concerts is shown in Figure 5.

Concert	Quantity of tickets demanded
A	4,200
B	6,000
C	3,250

Figure 5

(a) Calculate the **excess demand** for tickets if the quantity supplied for all three concerts totals 9,600. You are advised to show your working.

(2)

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7. Question 4 · part b · 6 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

The Cuban Government owns and runs most industries in the country and more than 75% of the labour force is employed by the state.

(b) With reference to the data above and your knowledge of economics, analyse the benefits of having a large public sector to a country such as Cuba.

(6)

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7. Question 4 · part b · 6 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

Instagram, WhatsApp and Facebook Messenger are social network messaging services, taken over and owned by Facebook. Between them, they have more than 2.6 billion users. Although they currently operate as stand-alone apps, Facebook's chief executive, Mark Zuckerberg, has now taken greater control of all three. He has plans to combine the services, allowing messages to be sent between the different apps.

Both Instagram and WhatsApp have grown considerably since the takeover but their original founders have left due to the increased control from Facebook. Some employees are unhappy and do not understand the planned changes to the services. However, Zuckerberg thinks there will be long-term benefits including reduced costs. He says that less software will be needed once the system is in place and consumers will be less likely to use competitors' apps.

(Source adapted from: https://www.nytimes.com/2019/01/25/technology/facebook-instagram-whatsapp-messenger.html)

(c) With reference to the data above and your knowledge of economics, evaluate whether Zuckerberg's decision to combine all three services is likely to lead to economies of scale.

(12)

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7. Question 4 · part b · 6 marks · Working and answer

Working and answer

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8. Question 1 · part e · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part e only.

1 (a) What is the name given to a firm that manufactures cars?

(1)

- ☒ **A** A primary sector firm
- ☒ **B** A secondary sector firm
- ☒ **C** A tertiary sector firm
- ☒ **D** A service sector firm

A firm that employs 540 workers has a total monthly output of 27,000 units.

(b) What is the monthly labour productivity of the firm?

(1)

- ☒ **A** 0.02 units
- ☒ **B** 50 units
- ☒ **C** 27,540 units
- ☒ **D** 14,580,000 units

(c) What is meant by the term division of labour?

(2)

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8. Question 1 · part e · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part e only.

(d) State **one** factor of production.

(1)

(e) Define the term public sector.

(1)

Yusef paints portraits of tourists who visit his home town. He recently reduced the price he charges by 2.5% and quantity demanded increased by 3.2%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Yusef's portraits. You are advised to show your working.

(2)

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8. Question 1 · part e · 1 mark · Working and answer

Working and answer

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9. Question 1 · part c · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

1 (a) Which **one** of the following values shows perfectly price inelastic supply?

(1)

- ☒ **A** 0
- ☒ **B** 0.5
- ☒ **C** 1
- ☒ **D** 2

(b) As a result of government policy, a firm had a decrease in its total costs of $200 each month. Which **one** of the following is the most likely type of government policy to produce this decrease in costs?

(1)

- ☒ **A** Fine
- ☒ **B** Regulation
- ☒ **C** Increased subsidy
- ☒ **D** Increased taxation

(c) What is meant by the term private sector?

(2)

(d) State **one** factor that may affect the supply of labour.

(1)

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9. Question 1 · part c · 2 marks · Working and answer

Working and answer

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10. Question 1 · part c · 2 marks

2024 JUN · Paper 01

Further practice · Attempt part c only.

1 (a) Which **one** of the following values shows perfectly price elastic demand?

(1)

- ☒ **A** –1
- ☒ **B** –0.5
- ☒ **C** Zero
- ☒ **D** Infinity

(b) A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is

(1)

- ☒ **A** €6.04
- ☒ **B** €205.36
- ☒ **C** €211.40
- ☒ **D** €422.80

(c) What is meant by the term mixed economy?

(2)

(d) State **one** example of an occupation that is in the tertiary sector of an economy.

(1)

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10. Question 1 · part c · 2 marks · Working and answer

Working and answer

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11. Question 4 · part c · 12 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

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4 Figure 6 shows the Production Possibility Curve (PPC) for an economy making consumer goods and capital goods.

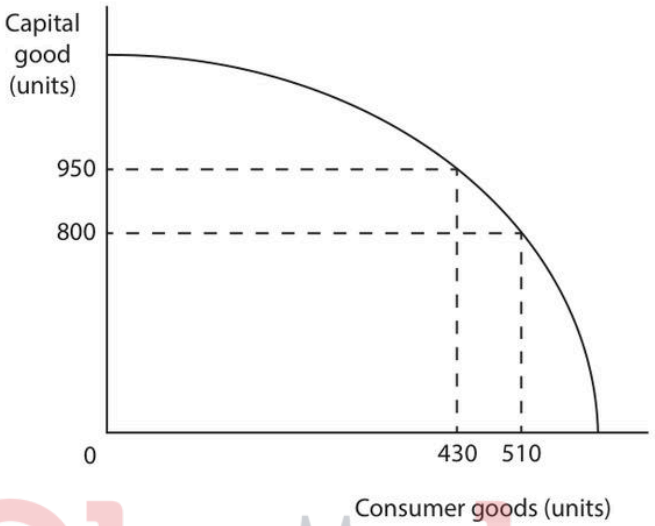


Figure 6

(a) When the current level of output is 430 units of consumer goods, calculate the **opportunity cost** of producing an additional 80 units of consumer goods. You are advised to show your working.

(2)

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11. Question 4 · part c · 12 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

Bulgaria has an extensive rail network. Many towns and cities are also accessible by bus. Both these methods of public transport are low priced. However, train travel is considered poor by European standards, with frequent train cancellations and a poor record of safety. Buses are often late and take a lot longer to reach their destination than if travelling by private car.

(b) With reference to the data above and your knowledge of economics, analyse how income elasticity of demand (YED) may affect operators of public transport as incomes increase in Bulgaria.

(6)

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11. Question 4 · part c · 12 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

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11. Question 4 · part c · 12 marks

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Further practice · Attempt part c only.

In January 2025, the Western Australian Government announced plans to invest AU$107m to expand the Swan River ferry network. The river is 72 km long and a major waterway, connecting many areas in its capital city, Perth.

The plan would have five new electric ferries built by local firms. Each ferry has the ability to transport more than 130 passengers per trip. In addition, there would be two new stops along the river, one close to a bus depot and one to enable easier access to the University of Western Australia.

Local sailing clubs were concerned about safety from the addition of ferry services into areas used by smaller boats. Meanwhile, politicians opposed to the addition said that creating extra parking for ferry customers may cause problems.

(c) With reference to the data above and your knowledge of economics, evaluate the extent to which public sector investment may benefit the economy of Western Australia.

(12)

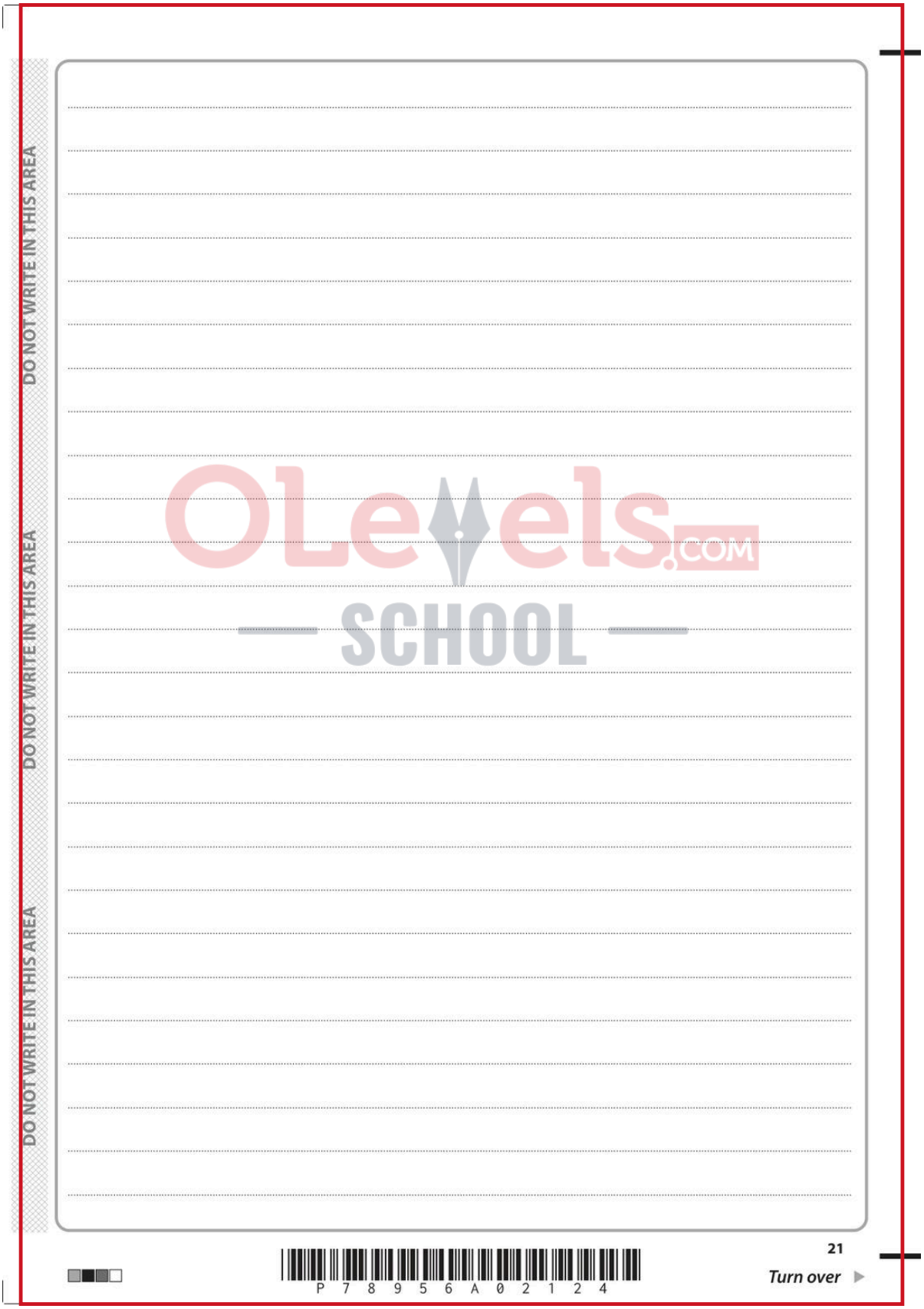
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11. Question 4 · part c · 12 marks

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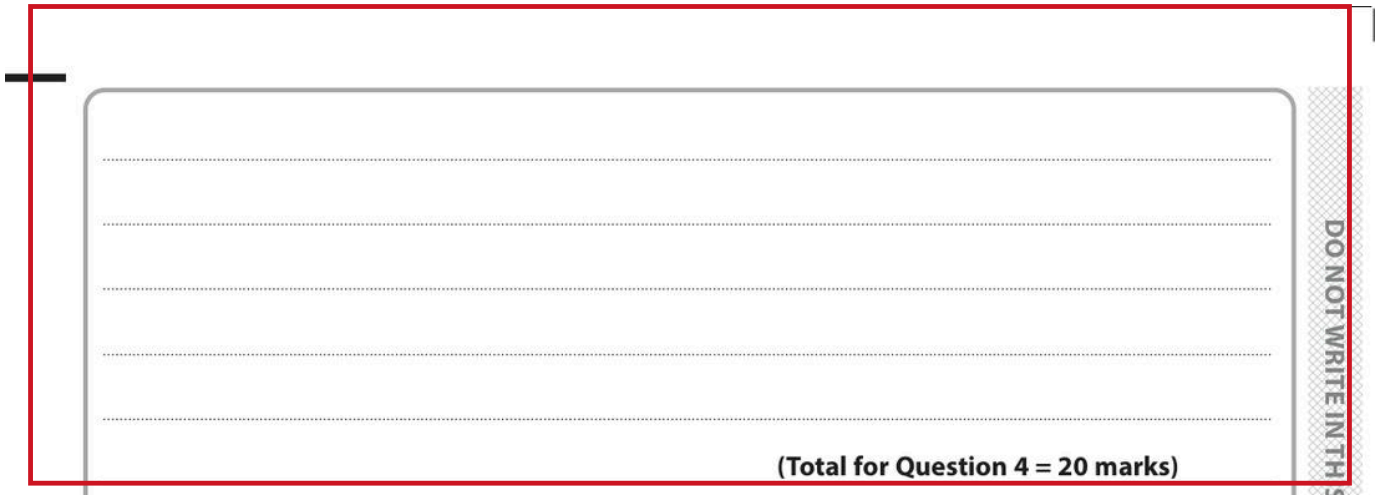
Further practice · Attempt part c only.



11. Question 4 · part c · 12 marks

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Further practice · Attempt part c only.



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11. Question 4 · part c · 12 marks · Working and answer

Working and answer

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